3. Disclosure Delivery Preferences

Based on information from the Fund Investor Experience RFC and investor testing and surveys, investors have shown a general familiarity with using the internet to find information about a fund and have expressed a range of preferences regarding how they receive fund disclosure (*i.e.*, in paper or electronically). In the Fund Investor Experience RFC, the Commission sought information on investors' use of the internet to communicate about and find information on fund investments, as well as their preferences on the form and manner of disclosure delivery.[68] In response, many investors indicated that they go to fund or intermediary websites to get information about a fund investment.[69] Many investors also expressed a preference for receiving fund disclosure electronically, either through email, mobile application, or website availability.[70] Several other investors preferred to access most fund information electronically, with the exception of certain information they preferred to receive on paper.[71] Other investors stated that they generally prefer to receive fund

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https://www.sec.gov/investment/accounting-and-disclosure-information/principal-risks/adi-2019-08-improving-principal-risks-disclosure ("ADI 2019-08").

68 *See* Fund Investor Experience RFC, *supra* footnote 8, at Section II.B.2.

69 *See, e.g.*, Karlidag Comment Letter; Thomas Comment Letter; Jallah Comment Letter; Delmonte Comment Letter; Solo Comment Letter; Comment Letter of C. Scott (July 26, 2018) ("Scott Comment Letter"); Comment Letter of James McRitchie (Sept. 4, 2018) ("McRitchie Comment Letter").

70 *See, e.g.*, Rojas Comment Letter; Jallah Comment Letter; Freedman Comment Letter; Nevin Comment Letter; Kirchoff Comment Letter; Arnold Comment Letter; Scott Comment Letter; Krus Comment Letter. Some funds responding to the Fund Investor Experience RFC also suggested that website disclosure is consistent with many investors' preferences. *See, e.g.,* Capital Group Comment Letter; Comment Letter of Fidelity Investments (Oct. 31, 2018) ("Fidelity Comment Letter"); Comment Letter of Vanguard (Oct. 31, 2018) ("Vanguard Comment Letter").

71 Many of these investors preferred to receive statements in paper. *See* Comment Letter of Arthur Blanchard (Nov. 19, 2018) ("Blanchard Comment Letter"); Ewing Comment Letter;

information in paper format.[72] A few investors specifically suggested that paper should be the default delivery mechanism for a "summary" shareholder report.[73] In addition, investor testing and surveys suggest that many investors would prefer enhanced availability of fund information on the internet in a layered disclosure framework, although some investors prefer to receive fund disclosures in paper format.[74]

Joseph Comment Letter; Krus Comment Letter. Other investors appeared to have different preferences. *See* Comment Letter of Mark S. (Aug. 30, 2018) (preferring to receive "important" information by mail); Olstrom Comment Letter (preferring to receive tax forms in paper); Comment Letter of Carl Waranowksi (Nov. 25, 2018) ("Waranowski Comment Letter") (preferring to receive "important" information in paper).

72 *See, e.g.*, Grano Comment Letter; Comment Letter of Jane D. Nelson (Aug. 30, 2018); Comment Letter of Duane Lee (Dec. 3, 2018) ("Lee Comment Letter"); Comment Letter of Mark Moran (Dec. 4, 2018); Morton Comment Letter; Comment Letter of Brad Shockey (Oct. 9, 2018).

73 *See* Henry Comment Letter; Weaver Comment Letter.

74 For example, the 2012 investor testing suggested that an investor looking for a fund's annual report is most likely to seek it out on the fund's website, rather than request it by mail or phone or by retrieving it from the Commission's EDGAR system. *See* 2012 Report on Investor Testing of Fund Annual Reports *supra* footnote 26, at 72. Many investors indicated that they would prefer that fund information be made available in both electronic and paper versions, with a plurality of respondents preferring electronic transmission by email with the option to easily request a paper copy of a particular report, though a significant minority indicated that they would still prefer to receive a paper copy through the mail. *Id.* at 183. *See also* Broadridge Comment Letter I (providing data on surveyed investors' current methods for receiving mutual fund and ETF disclosure and preferred delivery methods that suggest that preferences are mixed, with 47% of investors primarily receiving fund disclosure by mail and 44% primarily receiving fund disclosure by email); CFA Comment Letter (stating that the following percent of respondents to a 2006 survey expressed interest in using the internet to: (1) obtain general information about funds (59%); (2) research individual funds (58%); (3) receive periodic reports and disclosure documents (49%); (4) use a calculator to compare costs (47%); (5) communicate with a financial services professional (39%); or (6) purchase mutual funds (26%)); Broadridge Comment Letter II (providing the results of a survey in which 34% of investors said they were more likely to review a summary shareholder report if received by mail and 50% of investors said they were more likely to review such a report if received by email). *See also infra* footnote 76 (discussing increasing internet access over the years).

C. Developments Affecting Fund Disclosure and Marketing Practices

In addition to evidence about investor preferences regarding fund disclosure, our proposal is informed by developments affecting fund disclosure and marketing practices. With respect to our proposed amendments to promote more concise, layered disclosure, these developments include advances in technology and the Commission's experience with summary prospectus disclosure, as well as the growing length and complexity of funds' shareholder reports since the mid-1990s. Additionally, our proposed amendments to investment company advertising rules are informed by our observations about recent investment company marketing practices in light of increased industry focus on fees, and competition based on fees.

Advances in Technology

For more than 20 years, the Commission has recognized the internet's important role in providing disclosure materials and other information to investors and maximizing investor access to information.[75] During this time, technology has continued to evolve, and investors' access to the internet has increased. For example, as of 2019, approximately 94% of households owning mutual funds had internet access, while only 68% of these households had internet access in 2000.[76] Moreover, advances in technology, including increasing use of

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[75] *See, e.g.*, *supra* footnote 21. For a more-detailed discussion of other Commission releases that have involved using the internet to provide or improve access to information, *see* Rule 30e-3 Adopting Release, *supra* footnote 14, at n.18; *see also* Exchange-Traded Funds, Investment Company Act Release No. 33646 (Sept. 25, 2019) [84 FR 57162 (Oct. 24, 2019)] ("ETF Adopting Release"), at n.229 (encouraging ETFs to consider whether there are technological means to make their disclosure more accessible).

[76] *See* Ownership of Mutual Funds, Shareholder Sentiment, and Use of the Internet, ICI Research Perspectives (Oct. 2019) ("Study on Mutual Fund Investors' Use of the Internet"), *available at* https://www.ici.org/pdf/per25-08.pdf; *see also* CFA Comment Letter (providing a 2014 report

mobile devices to access information, are expanding the avenues that funds and intermediaries can use to communicate with investors and make it easier to provide interactive or customizable information.[77] We understand that many funds and financial intermediaries are using technology in an effort to communicate more effectively with fund investors and to respond to investor preferences, and continue to explore additional ways to use technology to better communicate with investors.[78] The Commission, while considering the needs and preferences of investors, also has recognized that modernizing the manner in which funds and others make information available to investors allows them to leverage the benefits of technology and reduce fund costs.[79]

Experience with Layered Disclosure, and the Growing Length and Complexity of Shareholder Reports over Time

The Commission also has taken multiple steps with respect to fund prospectuses to both recognize investors' preferences for concise and engaging disclosure of key information and ensure that additional information that may be of interest to some investors is available

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discussing the growth of internet usage).

77 *See, e.g.*, Vanguard Comment Letter; ICI Comment Letter I; CFA Comment Letter.

78 *See, e.g.*, Fidelity Comment Letter; Comment Letter of Putnam Investments (on behalf of the Mutual Fund Broker-Dealer Working Group) (Nov. 30, 2018) ("Putnam Comment Letter"); ICI Comment Letter I; Capital Group Comment Letter (stating that a growing percentage of fund shareholders and their advisers use the fund group's website to obtain information about its funds, its organization, and other investment insights); CFA Comment Letter (providing a 2014 study entitled "Can the Internet Transform Disclosures for the Better?" that, among other things, reviewed the content and design of fund and intermediary websites). For example, we understand that several funds and financial intermediaries provide interactive features on their websites such as fund screener tools, expense calculators, and retirement planning tools and use mobile applications to engage with fund shareholders.

79 *See* Rule 30e-3 Adopting Release, *supra* footnote 14; Variable Contract Summary Prospectus Adopting Release, *supra* footnote 27.

through a layered approach to disclosure.[80] We believe these initiatives have benefitted investors. For example, research shows that the introduction of a more concise summary prospectus may allow investors to spend less time and effort to arrive at the same portfolio decision they would have made after reading the longer statutory prospectus.[81] Approximately 93% of funds use summary prospectuses.[82]

On the other hand, the Commission has not taken comprehensive steps to create a layered disclosure framework for funds' shareholder reports.[83] Funds' shareholder reports generally have become longer and more complex over the years. For example, until 1994, funds were only required to provide certain financial information in their shareholder reports, generally consistent with the types of information that section 30(e) of the Investment

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80 *See* New Disclosure Option for Open-End Management Investment Companies, Investment Company Act Release No. 23065 (Mar. 13, 1998) [63 FR 13968 (Mar. 23, 1998); 2009 Summary Prospectus Adopting Release, *supra* footnote 10; Variable Contract Summary Prospectus Adopting Release, *supra* footnote 27.

81 *See* John Beshears, James Choi, David Laibson, and Brigitte Madrian, How Does Simplified Disclosure Affect Individuals' Mutual Fund Choices?, Explorations in the Economics of Aging, 75, 76 (David A. Wise ed., 2011), *available at* https://scholar.harvard.edu/laibson/publications/how-does-simplified-disclosure-affect-individuals-mutual-fund-choices.

82 *See supra* footnote 12.

83 The Commission has, however, adopted rules that permit streamlined disclosure of portfolio holdings in funds' shareholder reports. In 2004, the Commission adopted an approach that gives funds the option to include summary portfolio schedules in their shareholder reports, provided the complete portfolio schedule is filed on Form N-CSR and available, free of charge, to investors. *See* Shareholder Reports and Quarterly Portfolio Disclosure of Registered Management Investment Companies, Investment Company Act Release No. 26372 (Feb. 27, 2004) [69 FR 11244 (Mar. 9, 2004)], at Section II.B and paragraph accompanying n.111 ("February 2004 Shareholder Report Adopting Release") (noting that these amendments were "designed to streamline shareholder reports and help investors to focus on a fund's principal holdings, and thereby better evaluate the fund's risk profile and investment strategy," and would reduce printing and mailing costs for most funds).

Company Act identifies.[84] During this time, however, many funds provided other information in these reports voluntarily, including information about general economic conditions, the fund's performance, and services provided to shareholders.[85] Over the past two decades, the amount of information that funds are required to include in shareholder reports (or that funds otherwise voluntarily include in these reports) has increased substantially.[86]

Developments Affecting Investment Company Advertisements

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[84] *See, e.g.*, Registration Form Used by Open-End Management Investment Companies, Investment Company Act Release No. 13436 (Aug. 12, 1983) [48 FR 37928, 37951 (Aug. 22, 1983)] (adopting Form N-1A, which included annual and semi-annual report requirements in what was then Item 23 of the form). In 1994, the Commission adopted amendments requiring funds to disclose information in their shareholder reports about the results of shareholder votes and any changes in and disagreements with accountants. *See, e.g.,* Amendments to Proxy Rules for Registered Investment Companies, Investment Company Act Release No. 20614 (Oct. 13, 1994) [59 FR 52689 (Oct. 19, 1994)]. In 1996, Congress added section 30(f) to the Investment Company Act, which allows the Commission to require that funds' semi-annual reports include such other information as the Commission deems necessary or appropriate in the public interest or for the protection of investors. National Securities Markets Improvement Act of 1996, Pub. L. 104-290, Section 207, 110 Stat. 3416, 3430 (Oct. 11, 1996).

[85] *See, e.g.*, Standardization of Financial Statement Requirements in Management Investment Company Registration Statements and Reports to Shareholders, Investment Company Act Release No. 11490 (Dec. 15, 1980) [45 FR 83517 (Dec. 19, 1980)], at nn.3-4 and accompanying text.

[86] *See, e.g.*, Role of Independent Directors of Investment Companies, Investment Company Act Release No. 24816 (Jan. 2, 2001) [66 FR 3734 (Jan. 16, 2001)] ("Independent Directors Release") (requiring shareholder report disclosure regarding a fund's board of directors); Disclosure of Proxy Voting Policies and Proxy Voting Records by Registered Management Investment Companies, Investment Company Act Release No. 25922 (Jan. 31, 2003) [68 FR 6564 (Feb. 7, 2003)] (requiring funds to disclose in their annual and semi-annual reports to shareholders the methods by which shareholders may obtain information about proxy voting); February 2004 Shareholder Report Adopting Release, *supra* footnote 83 (requiring funds to add shareholder report disclosure regarding fund expenses borne by shareholders, a tabular or graphic presentation of a fund's portfolio holdings by identifiable categories, and management's discussion of fund performance, while allowing funds to include a summary portfolio schedule in these reports); Disclosure Regarding Approval of Investment Advisory Contracts by Directors of Investment Companies, Investment Company Act Release No. 26486 (June 23, 2004) [69 FR 39798 (June 30, 2004)] (requiring shareholder report disclosure about the basis for the board's approval of advisory contracts during the most recent fiscal half-year).

In recent years, investment companies increasingly have been marketing themselves on the basis of costs in an effort to attract investors. For instance, we have observed some funds calling themselves "no-expense" or "zero-expense" funds, or emphasizing their low expense ratios, despite the fact that investors may experience other investment costs.[87] These other investment costs include, for example, securities lending costs or wrap program fees that may provide revenue to the fund's adviser, its affiliates, or others and that may effectively allow the fund to reduce its reported expense ratio because the prospectus fee table is not required to reflect the relevant category of costs. Investment company advertising rules currently place limits on how a fund may present its performance to promote comparability and prevent potentially misleading advertisements.[88] These rules, however, generally do not prescribe the presentations of fees and expenses in advertisements to address similar concerns about comparability or potentially misleading information.[89]

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[87] A fund's expense ratio is the figure in its prospectus fee table that represents the fund's total annual operating expenses, expressed as a percent of the fund's average net assets. *See also infra* Section II.H.1.c (discussing costs that the expense ratio does not reflect).

[88] *See, e.g.*, Amendments to Investment Company Advertising Rules, Investment Company Act Release No. 26195 (Sept. 29, 2003) [68 FR 57760 (Oct. 6, 2003)]; Advertising by Investment Companies, Investment Company Act Release No. 16245 (Feb. 2, 1988) [53 FR 3868 (Feb. 10, 1988)] ("1988 Advertising Rules Release"); Mutual Fund Sales Literature Interpretive Rule, Investment Company Act Release No. 10915 (Oct. 26, 1979) [44 FR 64070 (Nov. 6, 1979)].

[89] While Commission rules require a fund to disclose maximum sales loads in some advertisements, and FINRA rules also limit how a fund advertisement may describe investment costs in some respects, these limitations currently apply only to a subset of fund advertisements. *See infra* Section II.H.2.

II. DISCUSSION

A. Overview of Proposed New Disclosure Framework

1. Executive Summary

The amendments we are proposing would modify the disclosure framework for funds registered on Form N-1A to create a new layered disclosure approach designed to highlight key information for retail investors. The new disclosure approach is designed to tailor the information that investors receive to help investors better assess and monitor their fund investments and make informed investment decisions. We recognize that investors have different levels of knowledge and experience, and we seek to promote disclosure that is inviting and usable to a broad spectrum of investors.

In order to help achieve these goals, the proposal includes the following principal elements:

- *Shareholder Reports Tailored to the Needs of Retail Shareholders*: Under the proposal, fund investors would continue to receive fund prospectuses in connection with their initial investment in a fund, as they do today. Thereafter, a shareholder would receive concise and visually engaging annual and semi-annual reports designed to highlight information that we believe is particularly important for retail shareholders to assess and monitor their fund investments on an ongoing basis. This information would include—among other things—fund expenses, performance, and portfolio holdings. We also propose to provide funds the flexibility to make electronic versions of their shareholder reports more user-friendly and interactive.
- *Availability of Additional Information on Form N-CSR and Online:* Information currently included in annual and semi-annual reports that may be less relevant to

retail fund shareholders, and of more interest to financial professionals and other investors who desire more in-depth information, would be made available online and delivered free of charge in paper or electronically upon request by the fund (or intermediary through which shares of the fund may be purchased or sold). This information also would be filed on a semi-annual basis with the Commission on Form N-CSR. This information would include, for example, the schedule of investments and other financial statement elements. Shareholder reports would contain cover page legends directing investors to websites containing this information.

- *Amendments to Scope of Rule 30e-3 to Exclude Funds Registered on Form N-1A*: The proposal contemplates that a fund's shareholder reports, as modified pursuant to the proposed rule and form amendments, would serve as the central source of fund disclosure for existing shareholders. To ensure that all fund investors would experience the anticipated benefits of the proposed new tailored disclosure framework, we are proposing to amend the scope of rule 30e-3 to exclude open-end funds.[90] Beginning as early as January 1, 2021, funds may begin relying on rule 30e-3, which generally permits funds to satisfy shareholder report transmission requirements by making these reports and other materials available online and providing a notice of the reports' online availability, instead of directly

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[90] We discuss the operational aspects of this proposed amendment to the scope of rule 30e-3, including compliance date issues, in Section II.G *infra.*

providing the reports to shareholders.[91] The new proposed disclosure framework considers feedback that commenters provided in response to the Fund Investor Experience RFC and reflects the Commission's continuing efforts to search for better ways of providing investors with the disclosure that they need. In light of these and other considerations, we preliminarily believe that the proposed disclosure approach represents a more-effective means of improving investors' ability to access and use fund information, and of reducing expenses associated with printing and mailing, than continuing to permit open-end funds to rely on rule 30e-3.

- *Tailoring Required Disclosures to Needs of New versus Ongoing Fund Investors:* It is currently common for fund shareholders to receive an updated annual prospectus each year. We are proposing new rule 498B, which would provide an alternative approach that uses layered disclosure, discussed in more detail below, to keep investors informed about their fund investment and updates to their fund that occur year over year. Under this proposed rule, new investors would receive a fund prospectus in connection with their initial investment in a fund, as they currently do, but funds would not deliver annual prospectus updates to investors thereafter. The proposed layered disclosure framework would instead rely on the shareholder report (including a summary in the annual report of material changes that occurred over the prior year), as well as timely notifications to shareholders

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[91] Notwithstanding rule 30e-3, investors who have elected electronic delivery of fund documents or have opted in to paper delivery of shareholder reports receive delivery of shareholder reports pursuant to their elections. *See infra* footnote 532 and accompanying text.